

-
-
-
-
-

Chapter 9

Period Close



Accounts Receivable Period Close

Introduction

When you have completed entering transactions for a financial period you must perform a set of period close procedures before you can start entering transactions for a new period.

Period end dates must be pre-set in the period calendar in the General Ledger, otherwise the period close and open routines will not succeed. However, the entered end date is not used to end a period automatically, and you may keep the period open until processing is complete.

The current Accounts Receivable period must be closed and the next one opened before you can close the equivalent period of the Cash Management and General Ledger companies to which it is linked.

Restrictions on the Use of Period End Routines

You must wait until users have completed all data entry and left the system.

If the job queue contains no other jobs then a period close is run immediately. While it is queuing or running, users are not permitted by the system to enter any Accounts Receivable data.



Note: We advise you to run period close routines at times when users are least likely to be entering Accounts Receivable data, for example overnight.



Warning: No other user should attempt an Accounts Receivable period close routine for the selected company at the same time.



Note: You must open the next Accounts Receivable period before you can close the current General Ledger period to which this application is linked.

Once you have closed a period, you cannot post invoices or cash until the next period is opened. If you close the period prematurely, you may re-open it - provided that you have not already opened the next period.

You can use this facility to freeze the ledger while the period is closed to run month end reports on a static database.

The procedures required at the end of a period are:

- Assign statement messages.
- Close the period.
- Print statements.
- Recalculate any balance forward accounts.
- Open the next period.

Assign Statement Overdue Messages



1/ARC

This option enables you to print a message on to the statement of any selected customer or customers. The facility is normally used to remind customers of any payment that is overdue.

The three steps involved in this process are as follows:

1 - Creation of a file of standard messages, each message defined by a unique number. See the Accounts Receivable Maintenance options for message maintenance **(4/ARM)**.

2 - Definition of the criteria by which messages are to be assigned to customer accounts. This is dealt with by the option currently being explained.

3 - Processing of the above entries. Each account is automatically examined to determine which, if any, statement message is required. The customer record is updated accordingly, and a report is printed of all customers for whom a message has been printed.



Select the AR period close option Assign Statement Overdue to see the Assign Statement Messages screen.

[illegible]

Overdue Reference Date

Or

Days Oldest Invoice Overdue

The rest of the entries on each line specify further checks and actions to be taken if a customer falls into this overdue category.

A customer will only be selected if the balance due of this age is greater than the amount specified here. The value is entered in base currency as a positive whole number (no decimals).

Net Off All Credits

In calculating the amount due within each overdue category, credit notes and other credit items may be included in the calculation. If it is required to net off credits on the account against the total value owed, enter 1 against the line.

Include In Report

A report is produced automatically of customers who have had designated messages assigned. If customers are to be included in the report, enter 1 in the appropriate column, otherwise leave blank.

Put On Stop

If it is required to set a stop indicator for all customers who fall into this category, enter 1, otherwise leave blank. Stop indicators will remain on the accounts until removed.

Overdue Message Code

The message code of the text to appear on the statement for selected customers.



When you have entered your choices, press
Enter to submit a job for processing.

Period Close

1...
2... **/ARC**

These functions are controlled by Period Close options.

Close Current Period



2/ARC

This procedure is used to close the current period when all transactions have been posted. This will inhibit any posting to the ledger until the next period is opened.



Select the AR option Close Current Period. The message you see on the screen will depend on whether any sessions have failed in the period to be closed.

Accts. Receiv. Period End Screen 1

If the session is successful the screen message will give the current state of the ledger i.e. open and active for period. It will include an option to close with instructions and the consequences once close is completed.

SL610	E1 - Demonstration Company	User ED3	5/04/94 12:43:06
Accts.Receiv.Period End			
The current state of the Ledger with regard to Period End processing is that the Ledger is in an 'OPEN' state and active for period 93-12			
You may now opt to CLOSE the period merely by pressing the 'ENTER' key.			
If you choose to CLOSE the period, then a job will be submitted to the batch processing sub-system and a message will be sent to this terminal on completion of the job.			
DO NOT select any further processing options for this Ledger until after you have received the message back to say that the Period Close option has completed successfully.			
Alternatively, press F3 to return to the previous menu.			
F3=Exit(without closing period) ENTER=Close period			



Press **Enter** to confirm the period close.

If failed sessions do exist within the period, the message you receive will be similar to the second Accts. Receiv. Period End screen.

Accts. Receiv. Period End Screen 2

Your options are to display

SL610	E1 - Demonstration Company	User ED3	5/04/94 12:43:06
-------	----------------------------	----------	---------------------

Accts.Receiv.Period End

The current state of the Ledger with regard to Period End processing is that the Ledger is in an 'OPEN' state and active for period 93-12 but some sessions are still incomplete or have failed.

Press F15 to view these sessions.

Press F19 to ignore these sessions and CLOSE the period.
If you do choose to CLOSE the period, then a job will be submitted to the batch processing sub-system and a message will be sent to this terminal on completion of the job.
DO NOT select any further processing options for this Ledger until after you have received the message back to say that the Period Close option has completed successfully.

Alternatively, press F3 to return to the previous menu.

F3=Exit(without closing period) F15=View failed/incomplete sessions
F19=Close period

Functions:

F15

View Failed / Incomplete Sessions. Displays the details of any failed or incomplete sessions.

F19

Close the period, including any sessions in error.

Display Incomplete And Failed Sessions Screen



If you press **F15**, the Display Incomplete & Failed Sessions screen displays.

SL615	E1 - Demonstration Company	User ED3	5/04/94 12:44:09						
Display Incomplete & Failed Sessions									
Session	User	Terminal	Perd.	Date	Time On	Time Off	Typ	Sts	Prt 1
167	TEST01	VRTDSP24	93-12	5/10/93	9:45:47	99:99:99	AC	I	—

1=Display session
F12=Previous



This screen lists the sessions in error. You can enter 1 against a session to see its details. To recover the session you must take the AR utility option Recover Incomplete Session.

Print Statements



3/ARC

You can print statements at any time and any number of times during a period. Statements can be printed for all outstanding accounts or for selected customers only. This is controlled by the statement print code maintained against each customer record.

You can produce statements for customers using a range of statement print codes.

This procedure can also be used to flag cleared items and to prevent them from appearing on future statements.



Select the AR period close option Print Statements, the Statements Print - Selection screen displays.

Statements Print Selection Screen

The following information refers to the statements:

- All outstanding items, and any items cleared this period, are included. Transfer journals, and items posted to a future period, do not appear.
- Statements are produced in account code sequence. Within this, items are sequenced by reference within item type within document date.
- Discount values appear on a separate line.
- Where more than one cash item was used in an allocation, all discounts for the allocation sessions appear against the first cash item within that session.
- If more than one statement page is produced, a carried forward and brought forward total is printed.
- Part paid items show the outstanding balance from the previous statement on the statement half, and the new balance outstanding on the remittance advice half. The status will be indicated by the letters PPD.
- Items which have been cleared since the last statement run have * as the status, and will not appear on future statements.
- Totals are printed at the end of the statement run showing the total value outstanding and the number of statements produced.

Some users may not want to print cleared items at all on any statement run. Under these circumstances two statement runs are required.

1) Set the Update Cleared Items flag to 1 so the items do not appear on future statement runs, but do not print the statements onto stationary.

2) Re-run the statements again, but this time print them, the cleared items will not appear.



Select the AR period close option Print Statements, the Statements Print - Selection screen displays.

SL300	E1 - Demonstration Company	User ED3	5/04/94 12:44:28
-------	----------------------------	----------	---------------------

Statements Print

Please enter statement date : _____
...AND overdue cut-off date OR period : _____

EITHER print ALL statements? : 0
...OR print the following codes . . . : _____

Suppress credit statements? : 0

Update cleared items? : 0

Print the statements in prime currency? : 1

Include Contra Items ? : 0

Include Collection Documents? : 1

Print hierarchy statements
by originating account ? : 0

F3=Exit

Fields:

Enter Statement Date

Enter the date that is to appear on the statements.

Overdue Cut-Off

The statement contains an analysis of overdue items by period or payment due date. If a period is entered, then the overdue analysis is based on the posting period in which the item was posted to the ledger. If a cut-off date is entered, then the overdue analysis is based on the item payment due date. Your pre-printed stationary should reflect this.

Print All Statements

To produce statements for all customers, enter 1 against all statements.

Print Selected Codes

To produce statements for all the customers with selected values of the Statement Print Code, enter 0 against all statements and up to 20 statement print codes against selected codes.

Suppress Credit Statements

Enter 1 to omit statements for customers whose outstanding balance is in credit, otherwise, leave 0.

Update Cleared Items

0 - If statements are to be run during the following month showing cleared items. No update of the ledger is performed , so this may be done as often as required during the period.

1 - If the customer accounts are to be updated, by flagging cleared items. In this case they will not appear on subsequent period statements. This option should only be run once for each period.

Print Statements In Prime Currency?

0 - To print statements in the equivalent base currency.

1 - To print statements in the prime currency.

Include Contra Items?

0 - to exclude them.

1 - to include contra items on the print.

Include Collection Documents?

1 -To include collection documents in the report.

Print By Originating Account?

1 - To print the report by the lowest level account on the customer hierarchy.



Complete the selection criteria and press **Enter** to submit the job.

Consolidate Balance-Forward Accounts



4/ARC

Customer accounts are set up as either open item or balance-forward accounts. As part of the period close procedure you must perform a consolidation of the balance-forward accounts to create the new opening balances for those accounts. The system will then clear the transactions from the previous period.

Open item accounts are not affected by this procedure. When you consolidate balance-forward accounts, the transaction details for the period that you are closing are cleared. You should produce an open item statement run so that all open items are printed before performing a consolidation routine.

All items posted to the ledger during the current period are recorded as open items. If the balance item record remains open when the period is closed, it is consolidated into the new period balance.



Note: You cannot open a new period until this process has been completed.



Select the AR period close option Consolidate Balance-Forward Accounts to see the batch job window.

Consolidate Brought Forward A/Cs Window

Functions:

F8

Starts the batch run to consolidate the balance accounts.

Open Next Period



5/ARC

When you have completed the period close procedures, you can open the next period.



Warning: If a period has been closed prematurely, this option can be used to re-open it as long as the next period has not yet been opened using F24.



Select the AR period close option Open Next Period. (An error message displays if the current period is open.)

Period Open Screen



To open the period, press **Enter** twice to confirm.



To re-open a period, press **F24**.